more prosperous age. Moreover, the meager compensation given was often slow in coming, only adding to the fears private entrepreneurs had about the safety of their investment. As the Committee observed, ‘It is a truism that while lack of finance might inhibit investment, an increase in the supply of finance will not by itself bring about an increase in investment. Cheap or plentiful credit cannot *per se* be an incentive. Private investment will come forth only if there is an expectation of reasonable compensation for the risks it has to undertake.’[6] The Committee while noting the vital role commercial banks and other financial institutions had to play in creating a financial conjuncture in which credit would flow into preferred lines, emphasized that while they had no sympathy with activities that amounted to profiteering, they did feel that ‘unless banks and other suppliers of credit were able to earn reasonable returns on the capital employed by them, they will find it increasingly difficult to attract the resources necessary to extend their loan and investment operations.’[7]

While generally accepting the principle of a mixed economy and the regulation and control which it entailed, the Committee demanded an end to discrimination against the private sector with regard to pricing, grant of licenses, and operation of controls. The private sector was not to be subject to unfair competition from government owned units operating in the same industry through the grant of special licenses, concessions, differential pricing, tax exemptions, or a departure from commercial accounting.

The Committee also showed that growing red tape had begun to retard private investment, a charge which was backed with specific examples. It highlighted the existence of irritants in the form of licensing requirements for starting or expanding industry, issuing capital, importing machinery, and securing foreign exchange, and their effect in delaying and retarding private investment. It deplored the amount of time and resources entrepreneurs were required to devote to liaising and lobbying with government departments in order to secure various licenses. It added that unless the overall climate for private sector investment was improved, an increase in agencies supplying finance to industry would not produce any results.

An important issue raised by the Committee was that legislative measures and judgements by administrative tribunals had imposed additional obligations on employers with regard to payment of labour and the conditions of employment. It stressed that enormous changes in the